

public offering. This adds huge costs that will have to be paid by the public market investor, which is part of the reason he gets such a bad deal.

Our personal experience tells us that the venture capitalists also sometimes ruin the businesses that they are taking public. They rarely understand how they work. And they don't really want to know. Their interest is very short term. Often, businesses work in ways that are quirky and hard to analyze. So when the suits come in, their eyes are so fixed on the prize—the IPO—that they neglect the business or actively destroy it.

We have seen our friends sell businesses to major venture capital firms and then buy them back later at a fraction of the price, after the venture capitalists had wrecked them.

After a business is public, the damage continues. It is one thing to run a private company. It is quite another to run a public company. The advantage of a private family company is that it can pursue a business or financial objective over a long period of time without worrying too much about what others think of it.

Family businesses are careful to protect their reputations. They watch out for anything that would undermine the value of their asset, even if the danger is far in the future. Farmers who own their own land do not wear out the soil. Families that own timber are not overeager to cut it down and sell it.

Privately held enterprises operate without the glare of the financial media or public stockholders (strangers) looking over their shoulders. Of course, this may mean that they're not very serious about making money, either—but that's another story.

Public companies, however, run the race with a ball and chain clapped on their ankles. They cannot make a move without worrying about how the market will react. They live in fear of the Securities and Exchange Commission (SEC), too, and usually employ a phalanx of lawyers, public relations people, and accountants to try to stay on good terms with the regulators.

They often bring on celebrity board members or CEOs, pay them fortunes, and hope they get their names in the paper and boost their stock prices. In our (limited) experience and observation, these people often have no idea what business they are in. Their job is to glad hand, back slap, and